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Earnings Note

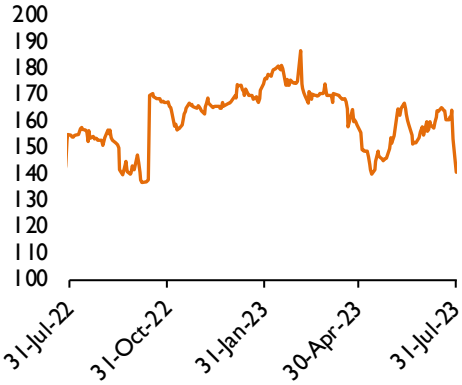
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Company details

NSE Code:	EABL
Market cap:	111.50Bn
Issued Shares	790.77Mn
52-week high:	KES 187.00
52-week Low	KES 137.00

As at 31st July 2023

Price chart



AIB-AXYS Research, NSE

Historical Price Performance

	1m	3m	6m	12m
Absolute	-3.00%	-3.81%	-10.76%	0.33%

AIB-AXYS Research, NSE

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EABL PLC FY'23 Earnings Note

Recomm: Buy | **Current Price:** KES 141.00 | **Target Price:** KES 177.51

EABL PLC FY'23 PAT declined 20.87% to KES 12.32Bn driven by a 10.07% increase in cost of sales attributable to higher excise taxes, higher cost of inputs and effects of the difficult macro-economic environment. Revenue marginally increased by 0.22% y/y to KES 109.65Bn attributable to the difficult operating environment. The Kenyan market growth declined by 4.00% while the Ugandan and Tanzanian markets expanded 17.00% and 1.00% respectively. Additionally, EPS declined 16.87% to KES 12.47 with a decrease in the final dividend to KES 1.75 (interim dividend of KES 3.75) taking the total dividend to KES 5.50 a 50.00% decline from KES 11.00 declared in FY'22.

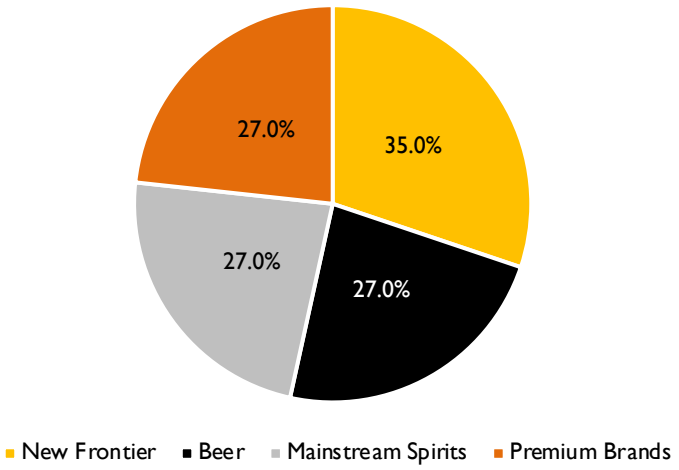
- **Taxes and Macro Challenges to Continue weighing down on growth:** EABL's total tax payments increased to **KES 94.35Bn** being 47.74% (vs 47.91% in FY'22) of gross revenue taking the effective tax rate to 34.13% vs 35.02% in FY'22. The increase in taxes was following the 20% and 10% increase in spirits and beer excise duty and the annual 6% inflation adjustment. Additionally, the tough macro environment; high inflation affecting consumer behavior, and higher interest rates increasing the finance cost (borrowing cost +90bps) were negative to the bottom line. Inflationary impact was also felt in raw material sourcing with the price of grains (+31%), logistics costs (+14%), electricity (+40%) and Ethanol costs (+60%). However, we view the removal of the annual inflationary adjustment Finance Act 2023 as positive for the alcohol industry. We expect tax and macro environments to remain challenging in FY'24 and is likely to continue exerting downward pressure on revenue growth and profits.

- **Premium Brands and Regional Subsidiaries Drivers of Growth :** Growth in alcohol consumption was reflected by the 32.00% growth in premium drinks. Revenue from mainstream spirits also expanded to 30.00% while revenue from frontier drinks and beers contracted to 32.00% and 25.00% respectively. However, the cost of sales increased 10.07% to **KES 62.25Bn** with operating expenses decreasing by 5.68% to **KES 23.21Bn.** Uganda was the most resilient subsidiary in growth with sales increasing by 17.00% y/y (to contribute 21.00%) enhanced by higher volumes and favorable pricing. Tanzania grew 1.00% y/y (to contribute 15.00%) as EABL took pricing (adjusting upwards) while competitors did not hence a slower growth. Kenya's revenues declined by 4.00% y/y (to contribute 64.00%) driven effects of the difficult macro environment on consumers disposable income and excise led price increases.

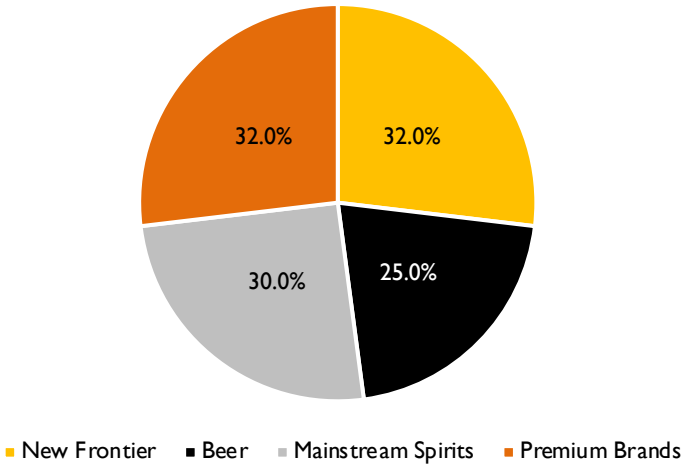
- **Growth of Balance Sheet Supported by CAPEX:** The balance sheet grew 32.24% y/y to **KES 90.70Bn** with long-term debt increasing 41.08% to **KES 51.02Bn.** Notably, the current ratio increased to 1.04 levels (recommended levels are above 1.00) reflecting faster growth in current assets by 22.67% compared to a 0.12% growth in current liabilities. CAPEX declined by 0.77% to **KES 12.90Bn** with majority directed towards capacity expansion to support long-term growth.

Outlook – Mainstream spirit and new frontiers such as Senator keg are expected to continue being key revenue drivers supported by beer and premium brands. We expect inflationary pressures and the continued depreciation of the shilling to continue impacting the company's operations in the Kenyan market. As such we believe that the most viable growth path will be driven by consumers' elasticity from price taking. We expect Uganda and Tanzania to continue reporting steady and robust growth driven by mainstream spirits and value beers.

Graph 1: y/y Growth FY'22



Graph 2: y/y Growth FY'23 (Beer and spirits contribution has been declining



Source: Company fillings, AIB AXYS Estimates

Financial Statements Summary

Income Statement	31-Dec-21	30-Jun-22	31-Dec-22	30-Jun-23	y/y change %
Net Revenues	54,899	109,409	57,261	109,649	0.22%
Cost of Sales	(28,429)	(56,553)	(30,703)	(62,249)	10.07%
Gross Profit	26,470	52,856	26,558	47,400	-10.32%
Operating Costs	(11,376)	(24,604)	(11,315)	(23,206)	-5.68%
Net Finance Costs	(2,217)	(4,236)	(2,389)	(5,485)	29.49%
Profit Before Tax	12,877	24,016	12,854	18,709	-22.10%
Income Tax	(4,140)	(8,442)	(4,151)	(6,386)	-24.35%
Profit After Tax	8,737	15,574	8,703	12,323	-20.87%
EPS	8.45	15.00	17.26	12.47	-16.87%
DPS	3.75	7.25	3.75	1.75	

Balance Sheet	31-Dec-21	30-Jun-22	31-Dec-22	30-Jun-23	y/y change %
Total Equity	24,538	26,414	28,064	31,744	20.18%
Non-Current Liabilities	40,823	42,174	42,461	58,958	39.80%
Total Equity and Non-Current Liabilities	65,361	68,588	70,525	90,702	32.24%
Non-Current Assets	71,054	75,016	80,183	89,155	18.85%
Current Assets	38,899	35,411	45,378	43,438	22.67%
Current Liabilities	44,592	41,839	55,036	41,891	0.12%
Net Assets	(5,693)	(6,428)	(9,658)	1,547	-124.07%
Total Assets	65,361	68,588	70,525	90,702	32.24%

Key Ratios	31-Dec-21	30-Jun-22	31-Dec-22	30-Jun-23
Gross Profit Margin	48.22%	48.31%	46.38%	43.23%
Operating Profit Margin	23.46%	21.95%	22.45%	17.06%
Return on Assets	7.95%	14.10%	6.93%	9.29%
Return on Equity	35.61%	58.96%	31.01%	38.82%
Current Ratio	0.87	0.85	0.82	1.04

Source: Company fillings, AIB AXYS Estimates



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